

You are a financial analyst evaluating 2 different companies X and Y.

Balance Sheet of company A and B

<u>Assets</u>	<u>Company X</u>	<u>Company Y</u>
Current Assets		
Cash	\$50,000	\$80,000
Inventory	\$40,000	\$70,000
Accounts Receivable	\$100,000	\$250,000
Fixed Assets		
Property	\$400,000	\$450,000
Others	\$60,000	\$50,000
Total	\$650,000	\$900,000

Liabilities		
Current Liabilities		
Accounts Payable	\$100,000	\$150,000
Short Term Loans	\$80,000	\$70,000
Long Term Liabilities	\$300,000	\$500,000
Capital	\$170,000	\$180,000
Total	\$650,000	\$900,000

Income Statement of company A and B

<u>Item</u>	<u>Company A</u>	<u>Company B</u>
Sales	\$300,000	\$500,000
Cost of Goods Sold	\$140,000	\$200,000
Gross Profit	\$160,000	\$300,000
Selling and Distribution Expenses	\$50,000	\$60,000
Earning Before Interest and Tax (EBITDA)	\$110,000	\$240,000
Depreciation	\$10,000	\$12,000
Earning Before Interest and Tax (EBIT)	\$100,000	\$228,000
Interest	\$10,000	\$18,000
Earning Before Tax	\$90,000	\$210,000
Taxes	\$18,000	\$42,000
Net Income	\$72,000	\$168,000

Perform the Ratio Analysis to evaluate the following ratios and comment on which company performs better on each of these parameters.

1. Liquidity Ratios

Current Ratio = Current Assets / Current Liabilities

Item	<u>Company A</u>	<u>Company B</u>
Current Assets	\$190,000	\$400,000
Current Liabilities	\$180,000	\$220,000
Current Ratio	1.06	1.82

Quick Ratio= (Current Assets-Inventory) / Current Liabilities

Item	<u>Company A</u>	<u>Company B</u>
Quick Assets	\$150,000	\$330,000
Current Liabilities	\$180,000	\$220,000
Current Ratio	0.83	1.50

2. Profitability Ratio

Operating Profit Ratio = Earnings Before Interest & Tax / Sales

Item	<u>Company A</u>	<u>Company B</u>
Operating Profit	\$100,000	\$228,000
Net Sales	\$300,000	\$500,000
Operating Profit Ratio	33%	46%

Net Profit Ratio= Earnings Before Interest & Tax / Sales

Item	<u>Company A</u>	<u>Company B</u>
Net Profit	\$72,000	\$168,000
Net Sales	\$300,000	\$500,000
Net Profit Ratio	24%	34%

Return on Equity = Net Profit / Shareholders Equity

Item	<u>Company A</u>	<u>Company B</u>
Net Profit	\$72,000	\$168,000
Equity	\$170,000	\$180,000

Return on Equity	42%	93%
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Return on Capital Employed = Earnings before Interest / Capital Employed

Item	<u>Company A</u>	<u>Company B</u>
EBIT	\$100,000	\$228,000
Capital Employed	\$470,000	\$680,000
Return on Capital Employed	21%	34%

3. Turnover Ratios

Inventory Turnover Ratio = Cost of Goods Sold / Average Inventory

Item	<u>Company A</u>	<u>Company B</u>
Cost of Goods Sold	\$140,000	\$200,000
Average Inventory	\$40,000	\$70,000
Inventory Turnover Ratio	3.50	2.86

Receivables Turnover Ratio = Credit Sales / Average Receivables

Item	<u>Company A</u>	<u>Company B</u>
Credit Sales	\$300,000	\$500,000
Average Receivables	\$100,000	\$250,000
Receivables Turnover Ratio	3.00	2.00

Payables Turnover Ratio = Credit Sales / Average Receivables

Assume 50% COGS is purchases

Item	<u>Company A</u>	<u>Company B</u>
Purchases	\$70,000	\$100,000
Average Payables	\$100,000	\$150,000
Payables Turnover Ratio	0.70	0.67

4. Solvency Ratios

Debt to Equity Ratio = Total Long Term Debt / Total Equity

Item	<u>Company A</u>	<u>Company B</u>
Long Term Debt	\$300,000	\$500,000
Equity	\$170,000	\$180,000
Payables Turnover Ratio	1.76	2.78

Financial Leverage = Total Assets / Total Equity

Item	<u>Company A</u>	<u>Company B</u>
Total Assets	\$650,000	\$900,000
Equity	\$170,000	\$180,000
Payables Turnover Ratio	3.82	5.00